

Franklin D. Roosevelt's Keynesian Turn:
Reshaping Economic Paradigms

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Characterized by a period of rapid innovation in labor practices, the American economy grew by 42% in the 1920s.¹ This was exemplified by Henry Ford's groundbreaking car design and pioneering assembly line, both of which revolutionized manufacturing and human life.² However, amidst this era of progress, the abrupt crash of the stock market plunged the nation into a state of depression; as a result, people grew increasingly cautious about their spending habits, prioritizing saving over spending. The reduced money circulation and decreased demand for goods and services contributed to the sharp rise in the unemployment rate.³ Presidents urgently addressed these economic concerns through policy ratification as economists simultaneously sought to determine the cause to recommend proactive measures. Two presidents served during this time: Herbert Hoover (1929-1933), and Franklin D. Roosevelt (1933-1945). While Hoover primarily focused on budgetary concerns which inadvertently exacerbated the depression, Roosevelt's presidency marked a shift towards driven solutions. Recognizing the need for a novel approach, Roosevelt shifted his economic framework from budget balancing to a Keynesian platform because the New Deal and other interventionist methods were effective in stabilizing the economy; this paved the way for Roosevelt's lasting legacy and heightened presidential trust.

Before the depression hit, John Maynard Keynes (1883-1946), a British economist, was broadly concerned about the future of the US economy because of the excess of savings over investment. The Great Depression confirmed his unease.⁴ The imbalance in government savings and investment reduced demand, resulting in decreased consumer spending and investment in

¹ "Modern Economy 1919-1930." California State University, Northridge.

<http://www.csun.edu/~hfeco002/Modern%20Economy%201900-1929%20Econ%20175.ppt>.

² Kaufman, Bruce E. "Wage Theory, New Deal Labor Policy, and the Great Depression: Were Government and Unions to Blame?" *Industrial and Labor Relations Review* 65, no. 3 (2012): 508.

³ *Labor Force Statistics from the Current Population Survey (SIC)*. Bureau of Labor Statistics (BLS), n.d. https://data.bls.gov/timeseries/LFU21000100&series_id=LFU22000100&from_year=1929&to_year=1939&periods_option=specific_periods&periods=Annual+Data.

⁴ Kaufman, "Wage Theory," 505.

expansion and hiring. Consequently, this downturn in economic activity led to a rise in unemployment rates. In a short essay, “Economic Possibilities for Our Grandchildren,” published in a series of essays titled *Essays In Persuasion*, Keynes emphasized “the enormous anomaly of unemployment in a world full of wants” to be the largest problem for any economy.⁵ Here, Keynes underscored the paradox of unemployment despite widespread demand, revealing a disconnect between production potential and resource utilization. This discrepancy signaled an inefficient allocation of labor and capital, obstructing resource circulation. When the Great Depression hit, Keynes criticized Hoover's initial crisis-solving attempts, arguing in *The General Theory* that stimulating competition and implementing flexible pricing would not establish a self-regulating mechanism in the market consistent with what classical economists proposed.⁶ Instead, the latter and the former only provided temporary solutions to unemployment as issues such as demand deficiency and ineffective pricing mechanisms remained under examined. In lieu of these, Keynes posited interventionist strategies and advocated for deficit spending as a vehicle to drive economic growth.

Other economic theories persisted at the time as well: Keynesian ideology clashed with the widely accepted classical economics, which made it difficult for policymakers to adopt new Keynesian strategies. Classical economists based their claims on Say's Law. In that vein, they suggested that the supply of a product creates demand for another product given that that product has some value which can be exchanged for a new one.⁷ Applied to a time of economic decline, classical economists recommended no intervention because supply and consequently demand should adjust on its own. The most prominent figure to disapprove intervention was Austrian

⁵ Keynes, John Maynard. *Essays in Persuasion*, New York: W.W.Norton & Co., 1963, 358-373.

⁶ Kaufman, “Wage Theory,” 505.

⁷ Say, Jean Baptiste, Munir Quddus, and Salim Rashid. *A Treatise on Political Economy*. Abingdon, Oxon: Routledge, 2017.

macroeconomist Friedrich Hayek, who argued that the cause of the Great Depression was not excess savings over investment; in fact, it was the opposite.⁸ This is further evident within his book *Prices and Production*, where he set himself up as the adversary of Keynes by advocating for the market to remain free.⁹ The tension here forced policymakers to navigate between conflicting ideologies. Further amplifying this tension were those in office who still adhered to classical economics—the theories that had guided economic policy over the previous decades—such as secretary Henry Morgenthau Jr. and much of the Treasury Department.¹⁰ They desired to balance the federal budget, as classical economists believed it would also enable the self-healing market mechanism. Due to numerous considerations and a tendency to lean on past successes, policymakers needed either tangible success or consistent failure of previous methods to effectively embrace the new Keynesian theory.

To secure the presidency, it was necessary for Roosevelt to market himself as a budget balancer. Roosevelt began his campaign through an address on the federal budget in Pennsylvania on October 19, 1932 embracing orthodox fiscal beliefs by promising to balance the federal budget when the national deficit was set at 3 billion dollars. Budget balancing—which Hoover himself failed to achieve—was well received by the US Treasury and the public, as indicated by polls where the majority voted against deficits.¹¹ The familiarity of the budget balancing strategy that Roosevelt proposed helped instill confidence in consumers, business leaders, and investors, which he hoped would encourage investment and economic expansion. He also assumed that as the economy recovered, tax revenues would climb and a balanced

⁸ Wapshott, Nicholas. *Keynes and Hayek: The Clash that Defined Modern Economics*. United States: W. W. Norton, 2011.

⁹ Hayek, Friedrich A. von, Toby Baxendale, and Joe Salerno. *Prices and Production and Other Works: F.A. Hayek on Money, the Business Cycle, and the Gold Standard*. Auburn, Ala.: Ludwig von Mises Institute, 2008.

¹⁰ "Roosevelt: From Budget Balancer to Keynesian." Franklin D. Roosevelt Presidential Library and Museum. <https://www.Rooseveltlibrary.org/budget>.

¹¹ "Roosevelt: From Budget Balancer to Keynesian."

budget would become more feasible. At the end of the day, budget balancing was unsuccessful because high unemployment rates persisted—between 1932 and 1935, one fifth of the nation was unemployed.¹²

To combat these high unemployment rates, Roosevelt shifted towards existing intellectuals for novel approaches, including Keynes'. In 1933, Keynes wrote a letter, published in the *New York Times (NYT)*, to Roosevelt. In it, Keynes described Roosevelt's task to bring the nation out of recession as being twofold: reform and recovery. As recovery was time pressured, Keynes offered the following:

The object of recovery is to increase the national output and put more men to work. ... Individuals must be induced to spend more out of their existing incomes; or the business world must be induced ... to create additional current incomes in the hands of their employees ... or public authority must be called in aid to create additional current incomes through the expenditure of borrowed or printed money. In bad times the first factor cannot be expected to work.... The second...will come in as the second wave of attack on the slump after the tide has been turned by the expenditures of public authority. It is, therefore, only from the third...that we can expect the initial major impulse.

Keynes' comprehensive list of options to achieve a specific goal, along with logical reasoning underscoring the reliability of each strategy, made his theory appear promising to Roosevelt. By specifying potential government investments, such as public works projects like railroad infrastructure,¹³ Keynes helped streamline Roosevelt's path to execution. These projects, he suggested, not only generated jobs but also enhanced efficiency, increasing consumer spending and stimulating economic activity. Altogether, Keynes believed that these interventionist efforts would enable material prosperity and restore faith in the government, two prospects Roosevelt valued as they would legitimize his presidency and improve the welfare of his citizens. While he

¹² *Labor Force Statistics from the Current Population Survey (SIC)*.

¹³ Keynes, John Maynard. Letter to Franklin Delano Roosevelt, "An Open Letter to President Roosevelt," December 31, 1933. <https://la.utexas.edu/users/hcleaver/368/368KeynesOpenLetRoosevelttable.pdf>.

kept the balanced budget in mind, he now recognized the need for a new perspective, and found Keynes' solution of government expenditures to fix unemployment to be attractive. Within his Campaign Address at Forbes Field, Pittsburgh, Pennsylvania, on October 1, 1936, he stated: "we accepted the final responsibility of [the] Government, after all else had failed, to spend money when no one else had money left to spend."¹⁴ His acknowledgment of the necessity to initiate government spending aligned with Keynes' interventionist recommendation.

Following Keynes' advice, Roosevelt implemented interventionist strategies within the second phase of the New Deal Program to uplift the economy and improve the lives of employed people. In his initial *NYT* letter addressed to Roosevelt, Keynes critiqued the haste of the National Industrial Recovery Act, which intended to sanction fixed prices and wages, establish production quotas, and impose restrictions on company alliances.¹⁵ Banking on Keynes' logic, between 1935 and 1938, Roosevelt revisited this impetuous act and reworked it to include two new central pieces of labor legislation aimed at improving labor welfare: the National Labor Relations Act (NLRA), which institutionalized collective bargaining and banned company unions, and the Fair Labor Standards Act (FLSA), which instituted a federal minimum wage and an overtime pay requirement, as well as a ban on child labor. In response, Keynes wrote a letter in early January 1938 to the president with approval of these new initiatives: "I regard the growth of collective bargaining as essential. I approve minimum wages and hours regulation."¹⁶ These programs achieved multiple objectives: increasing consumer spending, as people were compensated, which enabled them to spend more; improving worker productivity by ensuring fair wages which incentivized efficient work and improved overall productivity; and encouraging

¹⁴ "Roosevelt: From Budget Balancer to Keynesian."

¹⁵ "National Industrial Recovery Act (1933)." National Archives. Last modified February 8, 2022. <https://www.archives.gov/milestone-documents/national-industrial-recovery-act>.

¹⁶ "Roosevelt: From Budget Balancer to Keynesian."

investment by instilling confidence among investors and businesses as stable labor conditions reduced investment risk and increased the likelihood of expansion, innovation, and hiring.¹⁷

Beyond employed people, Roosevelt also developed a program for those unemployed that aligned with Keynes' approval of government interventionist efforts, increasing social appreciation for Roosevelt among several segments of the public. Roosevelt introduced the Social Security Act (SSA) which helped all those unemployed—both those by choice and those by force. Within this act contained a federal old-age pension plan and an unemployment insurance system.¹⁸ These two components aimed to stimulate economic growth—having these safety nets allowed consumers to spend even in an economic downturn. This system helped stabilize household incomes and maintain consumer spending levels. The decreasing unemployment rates and increased consumer spending between 1933 and 1937 proved the success of these programs.¹⁹ These results, however, did not make Roosevelt completely dependent on the new programs to the extent where he would abandon his old budget balancing ambition.

As the economy began to stabilize, Roosevelt reverted to his budget balancing mission; however, these strategies reversed the economic progress made and risked the economy into a deeper recession. After levels of unemployment decreased in part to these new programs from 25% to 14% between 1933 and 1937 (See Appendix A), Roosevelt returned to his original promise and tried traditional fiscal policies to balance the budget.²⁰ To do so, he had to reduce emergency relief and public works spending. These policies had adverse effects: instead of

¹⁷ Kaufman, "Wage Theory," 521-2.

¹⁸ Kaufman, "Wage Theory," 523.

¹⁹ United States. Bureau of Labor Statistics. *How American buying habits change*. New York: Greenwood Press, 1969, 226.

²⁰ National Bureau of Economic Research, Unemployment Rate for United States [M0892AUSM156SNBR], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/M0892AUSM156SNBR>, March 28, 2024.

helping the economy return back to pre-depression levels, they only exacerbated economic conditions, plunging the country back into a recession—coined “Roosevelt Recession of 1937-1938”²¹—to the point where people were concerned that the Roosevelt administration's approach toward business was delaying economic recovery by a significant margin, as indicated by The Gallup Organization poll.²² The name alone threatened Roosevelt’s legitimacy and forced him to abandon the budget balancing goal because it did not achieve a positive outcome. This experience made Roosevelt realize the extent to which Keynesian theory genuinely worked.

Bolstered by the success of the New Deal programs supported by Keynes and the failure of the budget balancing, Roosevelt transitioned to utilizing expenditure to combat high unemployment rates for long-term employment stability. In Keynes' book, *The General Theory*, he recommended that “in a state of semi-slump, with the economy in a liquidity trap,” government expenditure can kick start investment—as investment drove spending on capital goods, that in turn boosted the production of consumer goods which lead to a broader stream of spending overall.²³ Keynes elucidated the importance of the government providence of an investment impetus as “the duty of rendering the current volume of investment cannot safely be left in private hands.”²⁴ Extrapolating these ideas and penning a letter to Roosevelt in February 1938, Keynes declared that “[Roosevelt] must either give more encouragement to business or take over more of their functions yourself.”²⁵ Roosevelt accepted this argument. In April 1938, he proposed to congress a “new” federal expenditure of \$1.5 billion for public works. The success of this expenditure can be analyzed through the unemployment rates. While reaching a record high in June of 1938—this peak can be attributed to the fiscal policies and budget

²¹ "Roosevelt: From Budget Balancer to Keynesian."

²² Reed, Lawrence W. *Great Myths of the Great Depression*. Mackinac Center for Public Policy, 1981.

²³ Keynes, John Maynard. *The General Theory of Employment, Interest, and Money*. New York, NY: Harcourt, 2015.

²⁴ Keynes, *The General Theory*, 285.

²⁵ Levy, Jonathan. *Ages of American Capitalism: A History of the United States*. New York: Random House, 2021, 432-5.

balancing attempts. Soon thereafter, switching back over to the Keynesian-powered strategies resulted in a dramatic decrease in the unemployment rate by 4% in six months (See Appendix B).²⁶ Roosevelt's swift execution of an interventionist plan proved effective.

Both the theories and consistent communication provided by Keynes were necessary but insufficient in pushing Roosevelt to enact new policies; public approval was also required. Roosevelt prioritized public perception to secure his presidency long-term so that he could pass beneficial reforms. By carrying out small public works projects through the New Deal program, he generated excitement among the populace. This increased public backing provided Roosevelt with the latitude to pursue more ambitious endeavors. In spite of the public's initial aversion to government spending, Roosevelt recognized the necessity of prioritizing such expenditures to alleviate economic hardship. This strategic decision, although perceived as risky, ultimately proved fruitful as it consistently contributed to a decrease in the unemployment rate within the timespan of his presidency. Roosevelt's electoral victories illustrated growing public endorsement. He won his first election with 52.6% of the vote, increasing to 56.9% and 58.8% in his second and third elections respectively.²⁷ These widening margins underscored the increasing support for his leadership over time despite his unconventional strategies.

Roosevelt left a lasting legacy by effectively pulling the US out of the worst recession to date. Even today, politicians strive to continue his legacy, as seen in the current President Joe Biden's Infrastructure Investment and Jobs Act (IIJA), which intends to revitalize the economy through substantial government spending on infrastructure projects.²⁸ Through the IIJA, Biden

²⁶ National Bureau of Economic Research, Unemployment Rate for United States; <https://fred.stlouisfed.org/series/M0892AUSM156SNBR>.

²⁷ "Voter Turnout in Presidential Elections." Table. The American Presidency Project.

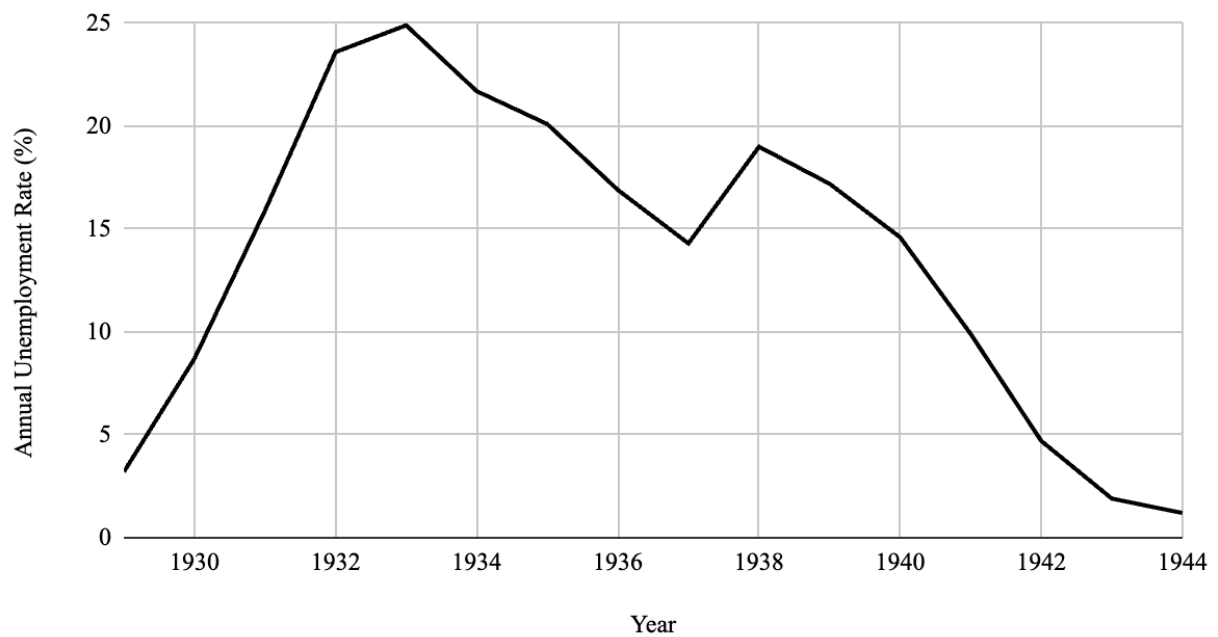
²⁸ Tomer, Adie. "At its two-year anniversary, the bipartisan infrastructure law continues to rebuild all of America." Brookings. Last modified November 17, 2023. <https://www.brookings.edu/articles/at-its-two-year-anniversary-the-bipartisan-infrastructure-law-continues-to-rebuild-all-of-america/>.

hopes to allocate funds towards various sectors such as transportation, water systems, broadband expansion, and clean energy initiatives, aiming to create jobs and stimulate economic growth—much like Roosevelt through his New Deal programs. However, unlike the 1930s, where benefits swiftly materialized, there are currently no immediate indicators due to the absence of a recession. This theoretically would lead to poor public perception, as people may be skeptical of the significant government expenditure without seeing immediate results. Yet, Biden need not worry over public perception as Roosevelt's presidency has ingrained the understanding that innovation is at times imperative, curtailing concerns about presidential legitimacy. Roosevelt's pioneering departure from conventional policies laid a foundation for subsequent presidents to navigate public opinion with greater ease, reflecting his enduring influence.

Appendix

Appendix A

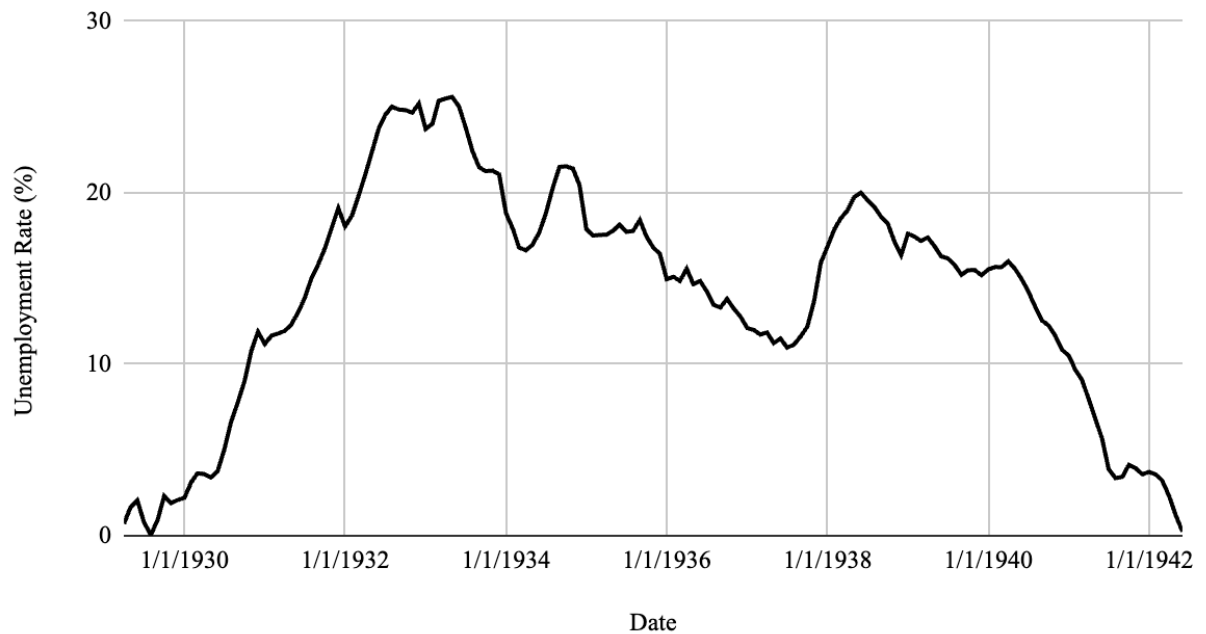
US Annual Unemployment Rate



Annual unemployment rates as recorded by the Labor Force Statistics from the Current Population Survey (SIC).

Appendix B

United States Monthly Unemployment Rate



Monthly unemployment rates of the United States, as recorded by the Federal Reserve Economic Data.

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